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Cross-Commodity Outlook

2026 Update – tactically bullish oil and precious metals from current levels, structurally bullish aluminium, EUAs

CITI'S TAKE

In this note we provide an update of our energy, metals, bulks, and agricultural commodity views across the complex for 2026. Please note that our up-to-date commodity price forecasts can always be accessed/found [here](#).

Near term our base case is for [oil to continue its recent rally up to around \\$70/bbl](#), driven by a rising geopolitical risk premium related to developments in Iran and Russia/Ukraine, alongside ongoing elevated levels of export disruptions (Kazakhstan, Libya, Algeria). We expect that \$70/bbl+ oil over the coming weeks will present a strong opportunity for producers to take insurance against downside risks to prices for the remainder of 2026, as we ultimately expect a moderation in geopolitical risks relating to Iran and Russia/Ukraine by 2H'26 in our base case, export disruptions to moderate following the winter, and the market is likely to remain under pressure from a fundamental surplus, as well as President Trump's drive for low oil prices ahead of the November 2026 US mid-term elections.

We see [silver continuing to outperform gold near term and rising to \\$100/oz vs gold rising to touch \\$5,000/oz](#). These price levels should also provide strong opportunities for producers and central banks to take insurance against downside from extremely high price levels. Meanwhile, our base case expectations for an improvement in growth sentiment and actual activity by 2H'26 should support sustained bull markets from current price levels in aluminium and copper, where we first see [\\$3.4-3.4k/t](#) and [\\$14k/t by mid-year](#), respectively.

We are also now near-term bullish lithium, most agricultural commodities, and [bearish long-term LNG/TTF gas](#).

Please see inside this note for details, and for deeper analysis, please refer to our annual outlook piece, published December 4, 2025, [here](#). Our detailed long-term bullish aluminium piece – sleepwalking into the biggest deficits in 20 years – can be found [here](#).

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2026 Commodity Outlook Update

Figure 1. Citi Commodity Price Forecasts

		Price Targets								Annual Forecasts			LT Price	
		Spot*	0-3M	%chg vs spot	6-12M	%chg vs spot	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2025	2026E	2027E	\$2025
Energy														
ICE Brent	USD/bbl	65	70	8%	62	-4%	60	62	62	62	68	62	64	70
NYMEX WTI	USD/bbl	60	67	11%	59	-2%	57	59	59	59	65	59	61	67
Henry Hub Natural Gas	USD/MMBtu	3.4	3.0	-11%	3.5	3%	3.9	3.3	3.7	4.0	3.6	3.7	3.6	3.9
JKM LNG	USD/MMBtu	10.1	11.0	9%	8.1	-20%	11.0	9.2	9.0	8.6	12.4	9.5	7.4	6.0
TTF Natural Gas	USD/MMBtu	10.4	10.0	-4%	7.5	-28%	10.0	8.5	8.5	8.0	12.0	8.8	6.8	5.0
EUA Carbon	EUR/t	89	95.0	7%	115.0	29%	N/A	N/A	N/A	N/A	80	115	115	N/A
Precious Metals														
Gold	USD/t. oz	4619	5000	8%	4000	-13%	4,600	4,500	4,400	4,200	3,443	4,430	4,000	3,600
Silver	USD/t. oz	89.7	100.0	12%	70.0	-22%	85.0	80.0	75.0	70.0	40.1	77.5	60.0	35.0
Platinum	USD/t. oz	2424	2500	3%	2000	-17%	2,400	2,300	2,200	2,100	1,286	2,250	2,000	1,800
Palladium	USD/t. oz	1887	2000	6%	1800	-5%	1,900	1,850	1,800	1,750	1,154	1,825	1,700	1,400
Industrial and Other Metals														
LME Copper	USD/MT	13251	14000	6%	13000	-2%	13,000	13,000	13,000	13,000	9,960	13,000	12,000	11,000
LME Aluminum	USD/MT	3224	3400	5%	3500	9%	3,300	3,300	3,400	3,500	2,628	3,375	3,500	3,000
LME Lead	USD/MT	2022	2100	4%	2000	-1%	2,100	2,000	2,000	2,100	1,959	2,050	2,100	2,000
LME Zinc	USD/MT	3187	3300	4%	2800	-12%	3,200	3,000	2,900	2,800	2,878	3,000	2,800	2,700
LME Nickel	USD/MT	17499	20000	14%	16000	-9%	18,000	17,000	17,000	16,000	15,179	17,000	16,000	17,000
CME Lithium Hydroxide	USD/MT	17960	23000	28%	15000	-16%	19,000	16,000	13,000	14,000	9,400	15,500	13,000	20,000
Uranium	USD/lb	83	86	3%	100	20%	85	90	95	100	72	93	110	63
Bulk Commodities														
Iron Ore (TSI)	USD/MT	108	105	-3%	95	-12%	105	100	95	100	102	100	90	85
Thermal Coal (Newc 6K)	USD/MT	108	105	-2%	110	2%	105	110	105	110	107	108	110	100
Coking Coal (Aus PHCC)	USD/MT	228	240	5%	220	-4%	225	215	200	220	188	215	210	200
Agriculture														
CBOT Corn	Usd/bu	421	450	7%	460	9%	460	460	460	460	450	460	N/A	N/A
CBOT Soybeans	Usd/bu	1023	1150	12%	1250	22%	1150	1200	1250	1250	1,052	1,213	N/A	N/A
CBOT Wheat	Usd/bu	511	550	8%	525	3%	550	525	525	525	531	531	N/A	N/A
ICE Sugar	Usd/lb	14.9	15.5	4%	17.0	14%	16.5	17.0	17.0	17.5	17.1	17.0	N/A	N/A
ICE Coffee	Usd/lb	360	340	-6%	300	-17%	375	350	325	300	371	338	N/A	N/A
ICE Cocoa	USD/MT	5224	5500	5%	5750	10%	5500	5600	5700	5800	8,205	5,650	N/A	N/A

*Spot as of 01/14/2026

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Source: Citi Research, Bloomberg

Industrial metals can climb higher near-term on further fund buying

We are bullish across the base metals in the near-term (including copper to \$14k/t, aluminium to \$3,400k/t, see Fig 2.) Market momentum, further positioning upside, and intact bullish narratives including allocation to base metals as a proxy for improving global growth and cyclical demand expectations, cross-metal supply constraints, arbitrage dynamics and currency debasement tail-risks can all drive prices higher in the very near-term. Our near-term conviction in further base metal upside is weaker than December given the rally has been driven by financial flows and sentiment and higher prices already capture a lot of the potential upside risks we envisaged for the complex in [our annual outlook](#).

Figure 2. Summary of Citi's base metal forecast revisions

Base Metals	Unit	0-3 mth pt price	6-12 mth pt price	1Q26f	2Q26f	3Q26f	4Q26f	2026f	1Q27f	2Q27f	3Q27f	4Q27f	2027f	2028f
Copper NEW	\$/t	14000	13000	13000	13000	13000	13000	13000	12000	12000	12000	12000	12000	12000
Copper (OLD)		14000	13000	13000	13000	13000	13000	13000	12000	12000	12000	12000	12000	11038
Aluminium NEW	\$/t	3400	3500	3300	3300	3400	3500	3375	3500	3500	3500	3500	3500	3800
Aluminium (OLD)		2950	3000	2900	2900	3000	3300	3025	3500	3500	3500	3500	3500	3800
Nickel NEW	\$/t	20000	16000	18000	17000	17000	16000	17000	16000	16000	16000	16000	16000	17000
Nickel (OLD)		14500	15000	14500	14500	14500	14500	14500	15000	15000	15000	15000	15000	
Zinc NEW	\$/t	3300	2800	3200	3000	2900	2800	3000	2800	2800	2800	2800	2800	2900
Zinc (OLD)		3000	2800	2900	2900	2800	2800	2850	2800	2800	2800	2800	2800	
Lead NEW	\$/t	2100	2000	2100	2000	2000	2100	2050	2100	2100	2100	2100	2100	2100
Lead (OLD)		1950	2000	2000	2000	2000	2000	2000	2100	2100	2100	2100	2100	
Tin NEW	\$/t	55000	45000	50000	48000	45000	45000	47000	45000	45000	45000	45000	45000	45000
Tin (OLD)		45000	45000	45000	45000	45000	45000	45000	40000	40000	40000	40000	40000	

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Source: Citi Research, Bloomberg, LME

Post 1Q'26, in our base case (50% probability) we are more cautious and anticipate a likely moderation in prices on profit-taking following the current bull run, except for aluminium where we remain structurally bullish – Physical market fundamentals for nickel, zinc and lead look to remain relatively soft beyond 1Q'26. Rising inventory and easing regional supply fears and constraints still point to downside for the rest of the year but all can ride broader base metals momentum in the near-term. Copper and tin may ease back to around current levels given both metals have already made strong gains through 2025 and early 2026, which in copper's case looks sufficient to balance the global market around current price levels on paper.

Despite this caution on price prospects beyond 1Q'26 in our base case, we highlight a higher likelihood that our bull case price scenarios (including near-term \$15k/t copper and \$4,k/t aluminium) play out and assign a higher 30% probability here to reflect this. Potential triggers for further and sustained gains include much more aggressive investor pricing (and later data confirmation) of a very soft US landing, dollar weakness/ CNY appreciation, a stronger cyclical growth recovery underpinned by deeper Fed rate cuts, and renewed confidence in China demand potential underpinned by incremental policy support. Broader investor allocation to hard assets (including all commodities) on currency debasement fears/dollar weakness represents another important risk factor, with base metals riding precious metals price strength. Metal-specific dynamics (e.g. Continued elevated US draws on ex-US copper units and/or incremental supply shocks and constraints across the complex) represent additional paths higher for pricing that are more metal-specific.

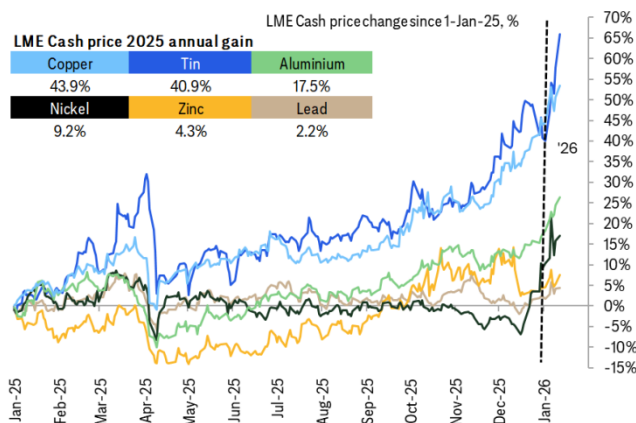
Figure 3. Citi's base metal price forecast updated scenarios

Price Forecasts	Scenario Weight	Unit	0-3 mth pt price	6-12 mth pt price	1Q26f	2Q26f	3Q26f	4Q26f	2026f	1Q27f	2Q27f	3Q27f	4Q27f	2027f	2028f
Copper (Bull)	30%	\$/t			15000	15000	15000	15000	15000	15000	15000	15000	15000	15000	15000
Copper (Base)	50%	\$/t	14000	13000	13000	13000	13000	13000	13000	12000	12000	12000	12000	12000	12000
Copper (Bear)	20%	\$/t			10000	10000	10000	10000	10000	10000	10000	10000	10000	10000	10000
Aluminium (Bull)	30%	\$/t			3500	3500	3600	4000	3650	4000	4000	4000	4000	4000	4200
Aluminium (Base)	50%	\$/t	3400	3500	3300	3300	3400	3500	3375	3500	3500	3500	3500	3500	3800
Aluminium (Bear)	20%	\$/t			2800	2800	2800	2800	2800	2700	2700	2700	2700	2700	2700
Nickel (Bull)	30%	\$/t			20000	20000	20000	20000	20000	20000	20000	20000	20000	20000	21000
Nickel (Base)	50%	\$/t	20000	16000	18000	17000	17000	16000	17000	16000	16000	16000	16000	16000	17000
Nickel (Bear)	20%	\$/t			14000	14000	13000	12000	13250	12000	12000	12000	12000	12000	13000
Zinc (Bull)	30%	\$/t			3400	3400	3400	3400	3400	3200	3200	3200	3200	3200	3300
Zinc (Base)	50%	\$/t	3300	2800	3200	3000	2900	2800	3000	2800	2800	2800	2800	2800	2900
Zinc (Bear)	20%	\$/t			2700	2500	2500	2500	2500	2600	2600	2600	2600	2500	2600
Lead (Bull)	30%	\$/t			2300	2300	2300	2300	2300	2300	2300	2300	2300	2300	2300
Lead (Base)	50%	\$/t	2100	2000	2100	2000	2000	2100	2050	2100	2100	2100	2100	2100	2100
Lead (Bear)	20%	\$/t			1900	1900	1900	1900	1900	1900	1900	1900	1900	1900	1900
Tin (Bull)	30%	\$/t			60000	60000	60000	60000	60000	60000	60000	60000	60000	60000	60000
Tin (Base)	50%	\$/t	55000	45000	50000	48000	45000	45000	47000	45000	45000	45000	45000	45000	45000
Tin (Bear)	20%	\$/t			35000	35000	35000	35000	35000	35000	35000	35000	35000	35000	35000

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Source: Citi Research

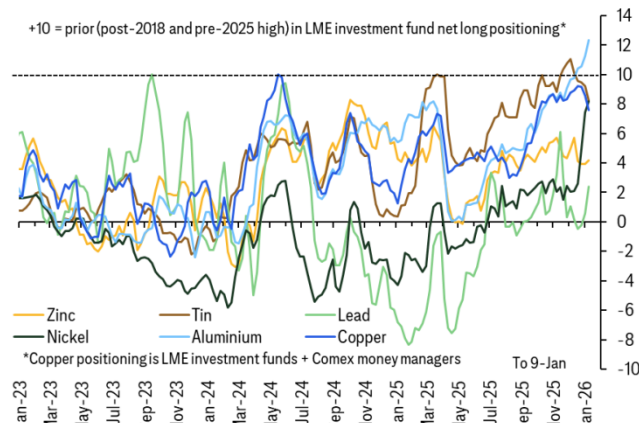
Figure 4. Most base metals have rallied hard over the last month, building on 2025 gains



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Source: Citi Research, Bloomberg, LME

Figure 5. Investor net long positioning is elevated across most of the base metals complex, but we see scope for further inflows of macro length (and short covering)



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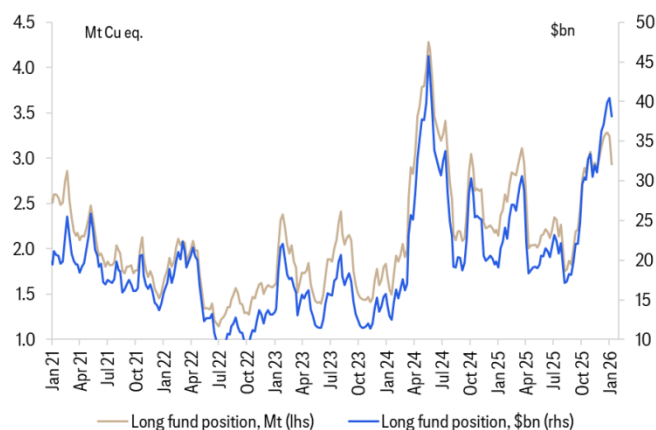
Source: Citi Research, Bloomberg, LME, CME Group

ALUMINIUM- Aluminium's structural bull case is materialising, supported by macro and expected fundamental tailwinds, with the metal rallying alongside the broader base-metals complex. In our base case, we expect momentum to sustain in the near term and remain tactically bullish aluminium with a 0-3 month price target of US\$3,400/t. Speculative length build-up, as investors continue to pull forward aluminium's medium-term structural bull case, combined with shared macro tailwinds with copper and an elevated copper-to-aluminium price ratio — alongside China solar export frontloading ahead of April solar tax rebate removal — can all drive prices higher in the very near term. While the backdrop remains

constructive, we retain low conviction on the speed of gains given path dependency and lagging physical indicators, which could catalyze interim corrections; for consumers with long-term exposure, such dips may present opportunities to consider hedging strategies. Over the medium term, aluminium could benefit incrementally from China's "aluminium-for-copper" substitution in air-conditioning applications, reinforcing the structural bullish narrative.

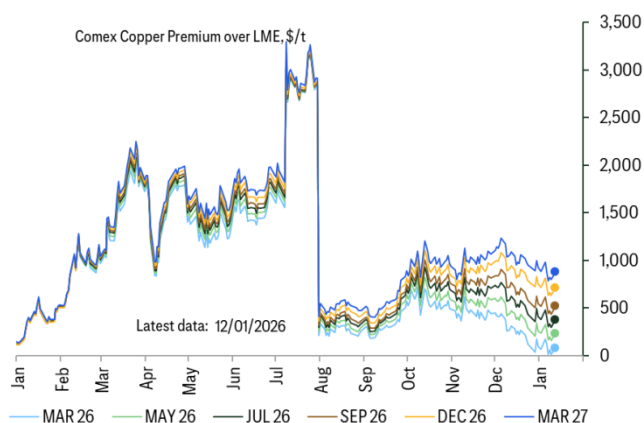
COPPER – We stay bullish near-term (base case \$14k/t). To sustain pricing above \$13k/t through 2026 requires fresh catalysts (See [Metal Matters - Staying bullish copper near-term after our \\$13k/t target breached](#)) – We are tactically bullish copper in the coming weeks with a 0–3 mth pt price target of \$14k/t. Market momentum, further positioning upside, and intact bullish narratives (US arb/tariff dynamics, demand and growth expectations, mine supply constraint, debasement tail-risks) can all drive prices higher in the very near-term. However, our bullish price conviction from here is much lower than in December; January could mark the 2026 price high and unless fresh catalysts emerge to realise our \$15k/t bull-case scenario, we expect an eventual retreat to a more sustainable ~\$13k/t level (which base case sees a balanced 2026 market), with a base case average price forecast of \$13k/t for 2Q–4Q'26.

Figure 6. Copper fund positioning can build further; still ~1.5Mt or ~\$8bn below the 2024 peak (as of 9-Jan)



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Source: Citi Research, Bloomberg, LME, CME Group

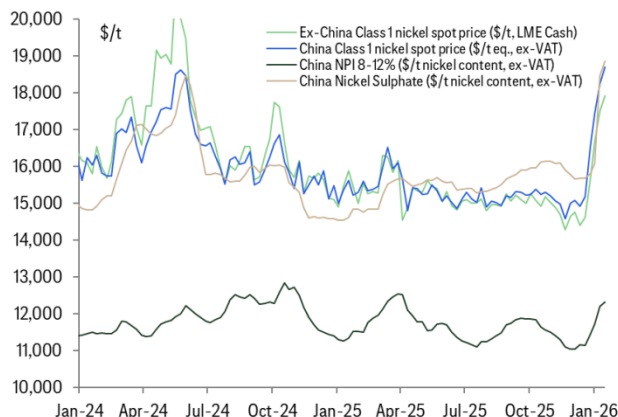
Figure 7. COMEX-LME copper arb close to spot parity but forwards remain at a premium



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Source: Citi Research, Bloomberg, LME, CME Group

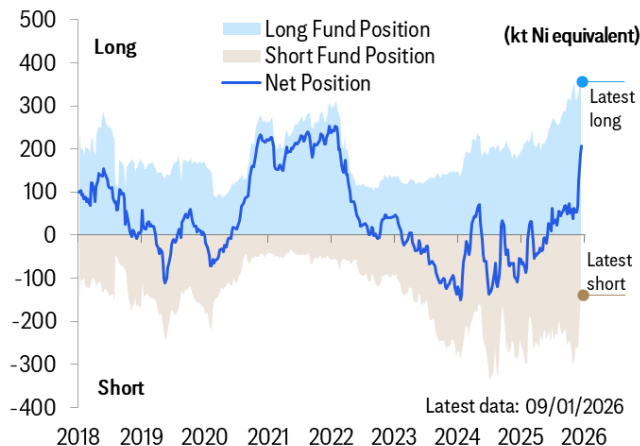
NICKEL – Our base case is prices climb to \$20k/t on a 0–3mth basis driven by macro-momentum and Indonesian supply risks, but our base case is an eventual retreat to \$16k/t over the next 6–12 months. We revise our nickel price forecasts higher (previously \$14,500/t 0–3 mth and \$15,000/t 6–12 mth) in response both to Indonesia nickel policy developments ([19-Dec, Bloomberg](#)) and the recent month's strength in broader base metals pricing and potential to rally further on allocation to base metals as proxy for improving growth sentiment. Near-term, Indonesian nickel supply policy uncertainty and bullish momentum in global risk sentiment (and broader base metals pricing) can fuel further covering of still-elevated nickel fund shorts. However, our base case is that Indonesia policymaker ore quota restraint does not meaningfully impact supply growth in 2026 beyond the prospect of temporary 1Q'26 regulatory disruption and that the nickel market will remain in surplus this year. NPI pricing has significantly lagged the rally in Class 1 nickel and sulphate pricing (as it did in Apr/May 2024) which should spur NPI conversion and contribute to further Class 1 nickel oversupply and inventory growth. In our base case we expect prices to retreat to average \$16k/t by 4Q'26.

Figure 8. The COMEX premium to LME narrowed through December but remains positive, particularly for contract months further down the curve



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Source: Citi Research, Bloomberg, LME, ShFe, SMM

Figure 9. Nickel investment fund net length has soared on short-covering and some fresh length, but the total short remains elevated and vulnerable to further covering



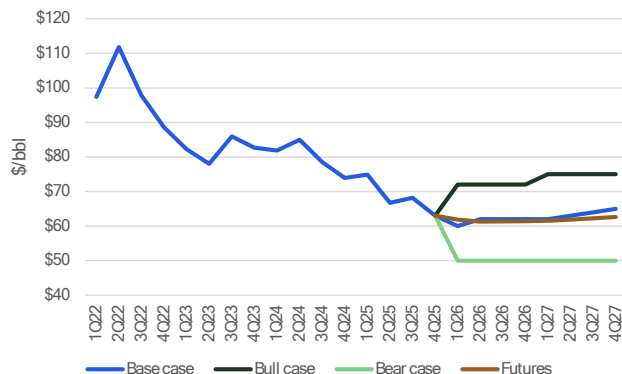
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Source: Citi Research, Bloomberg, LME

Energy

Oil: watch out for short-term upside from geopolitics

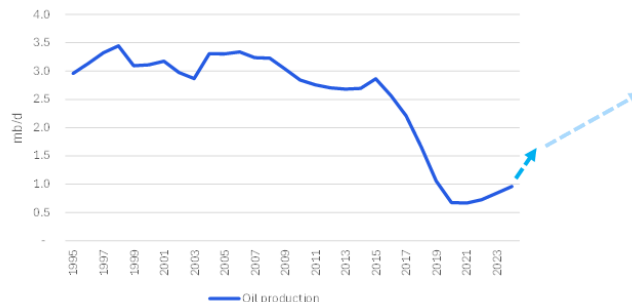
Last week, with Brent at ~\$60-61/bbl, we wrote on Russia/Ukraine and Iran risks supporting higher oil prices, near-term. We now think this oil rally has room to extend above our \$55-65/bbl forecast range in the coming days. [We recently raised our 0-3mth price target for Brent oil to \\$70/bbl](#), mainly driven by rising supply disruption risks and possible further increases in geopolitical risk premium related to Iran and Russia/Ukraine. In addition, geopolitical risks remain in Libya and Iraq. For context, Brent rallied from the low-\$60s/bbl to \$77/bbl in mid-2025 during the Iran/Israel escalation, and this time Iran is facing weaker currency, economy, large protests, etc. Of course, oil balances are looser than they were then, and our baseline view is that spikes would provide room for producer hedging, since President Trump wants lower oil prices ([TheGuardian](#), 1/8), and OPEC+ can still raise supply from 2Q'26 if sizeable disruptions occur.

Figure 10. Citi Brent quarterly average oil price forecasts through 2027 – overall we are expecting prices to average around \$62/bbl, generally trading between \$55–65/bbl, with spikes base case above that range in the near term



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Source: Citi Research, Bloomberg

Figure 11. Venezuelan oil production fell since the 2000s but collapsed from 2014 price crash, lack of investment, and sanctions. If production returns, the first ~0.5-mb/d could be swift but further gains would be slower



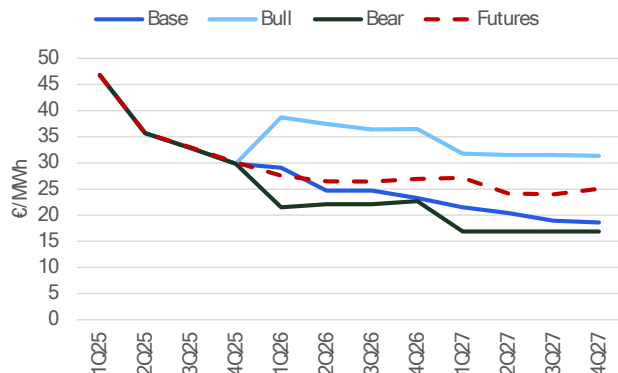
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Source: Citi Research, BP/Energy Institute

Natural gas: more downside ahead, barring mother nature

The long-expected global LNG oversupply is coming into view, starting in 2027. Meanwhile, the supposedly tighter US gas market could instead confront unexpected oversupply because of very prolific Haynesville production, with Permian gas coming soon after, with new pipelines coming online from mid-2026 onward. Globally, 2026 prices should average \$9.5/MMBtu for JKM LNG and \$8.8/MMBtu (€26/MWh) for TTF. The projected Oct'26 storage in Europe could be nearly 93% full because of weak Asian LNG demand. However, since the oversupply does not exceed European storage capacity, that prices would not necessarily have to fall much further to try to induce more fuel switching on both the demand and supply sides. For US Henry Hub, prices can take another leg down due to strong production, but winter is not over yet.

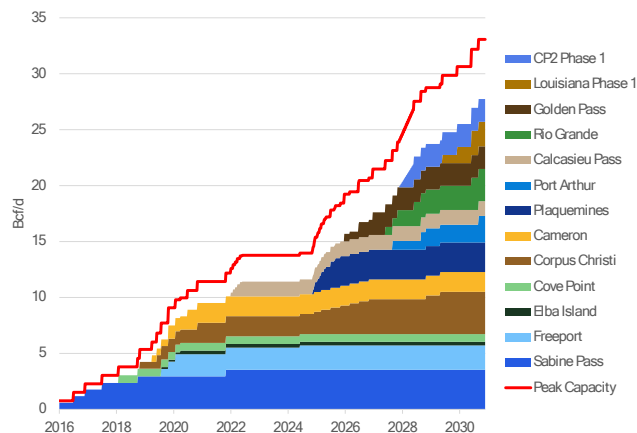
2027 prices should average \$7.4/MMBtu for JKM LNG and \$6.8/MMBtu (€20/MWh) for TTF. The projected Oct'27 storage in Europe, unconstrained, could reach ~129-bcm, about 20-bcm over the capacity limit. Thus, the world needs to work down this ~20-bcm oversupply. **For the US, 2027 prices should average \$3.6/MMBtu.** The projected Oct'27 inventory at just under 4-Tcf should keep the market just balanced. US LNG exports could still operate at full capacity, because the LNG export arbitrage remains open. Haynesville production should slow at these price levels, but Permian gas supply should become economic, sufficient to feed data center demand growth.

Figure 12. Citi forecasts of European TTF natural gas prices vs. forward curves



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Source: Citi Research, Bloomberg

Figure 13. US LNG export capacity should grow by another 2.2 and 3.2-Bcf/d in 2026 and 2027 respectively. By the end of 2030, it will grow to 33.1-Bcf/d, from 14.2-Bcf/d by end of 2024, based on only projects that received FID



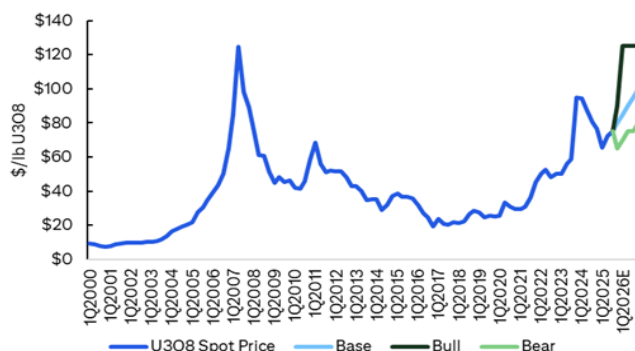
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Source: Citi Research, EIA

Uranium: Speculative activity picked up in 2026, while demand and prices are expected to increase significantly

Uranium prices have been rangebound in 2025, trading between \$60 and \$80/lb, but breached that level in early 2026 and currently settled at \$82/lb. We hike our 0-3mth point price target to \$86/lb from previous \$80/lb as presented in our [2026 annual commodities outlook](#). We are tactically bullish and expect that prices would reach to at least \$100/lb towards year-end. Recent purchases by Sprott Physical Uranium Trust ([Mining.com](#), 01/05/2026), SWU prices continue to increase and now trading at \$200/SWU, while uranium term prices are settling at \$86/lb all point to higher prices in 2026.

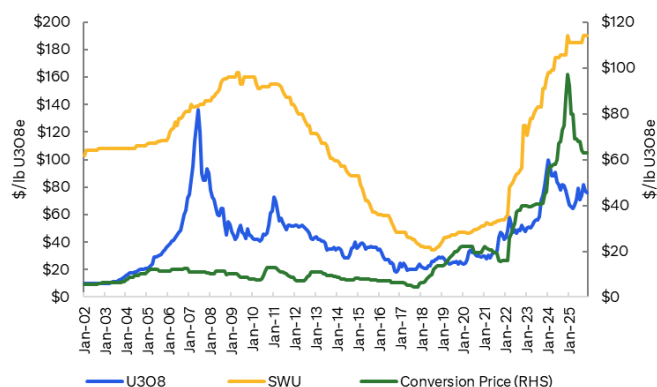
The nuclear buildout is gaining further traction. In the US there are currently three plants that are set to be resurrected, and there is active development for new large nuclear plants potentially to be built with \$80bn funding allocated by the US government. The potential for Small Modular Advanced Reactors (SAMR) is positive, with the concrete plans and available financing. Recent decision by the DOE to allocate \$1.8bn for production for High Assay Low Enriched Uranium (HALEU) and \$0.9bn for LEU is directly targeted to limit dependency on foreign feedstock.

Figure 14. Citi Uranium Quarterly Price Outlook



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Source: Citi Research, UxC

Figure 15. Nuclear fuel prices remain at historically high levels



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Source: Citi Research, UxC

EUAs

EUAs are on track to hit our 0-3m price target of €95/t as policy makers continue to refrain from directly intervening on the EU ETS, prioritizing other forms of support for energy intensive industries. Late last month, the EU Commission widened relief for energy intensive companies under the EU ETS. The decision is yet another confirmation of our bullish thesis on EUA prices, defying criticism that high EUA prices are a concern for policymakers as they bear on domestic industries' competitiveness. The EU Commission's decision refers to the indirect cost compensation scheme, a state aid mechanism under the EU ETS that allows Member States to partially compensate energy-intensive industries for higher electricity prices caused by the pass-through of carbon costs from power producers.

The aid is calculated as: $\text{CO}_2 \text{ emission factor} \times \text{Electricity consumption} \times \text{EUA price} \times \text{Aid intensity}$

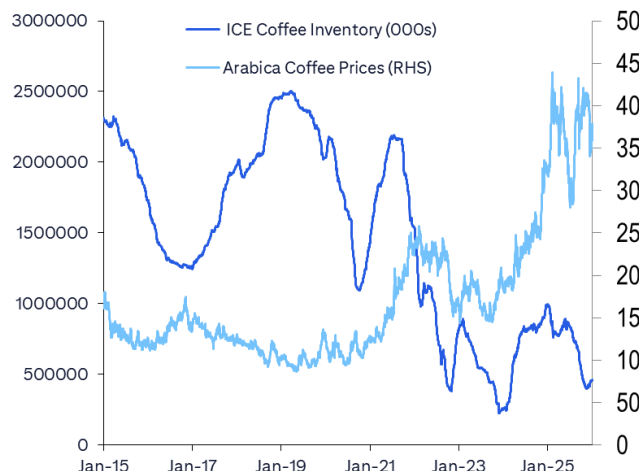
The EU Commission has amended the ETS State Aid Guidelines to expand the eligible sectors list by 20 new sectors, more than doubling the previous number. Newly eligible activities include the manufacture of organic chemicals, certain ceramic and glass activities, and the battery sector, while also increasing the Aid Intensity to 80% from 75%. Most industrial sectors already receive nearly 100% free allocation for direct emissions (meaning their main EU ETS exposure before free allocations get phased out under the CBAM later in this decade) is indirect via electricity. For instance, in Italy, at EUA ~€88/t this adds ~€32/MWhe (assuming gas is marginal) of which up to 75% - now up to 80% - can be compensated. This leaves a modest ~€7/MWhe on an indicative wholesale electricity price (PUN) of €120/MWhe, with gas costing ~€49/MWhe. Hardly a deal-breaker for industry competitiveness. By broadening eligibility list, the EU Commission is demonstrating what we have been saying: a clear policy shift avoiding suppressing carbon prices while supporting industries via other targeted measures, including new CBAM-funded funds too.

Agriculture

Coffee: How fast prices could collapse?

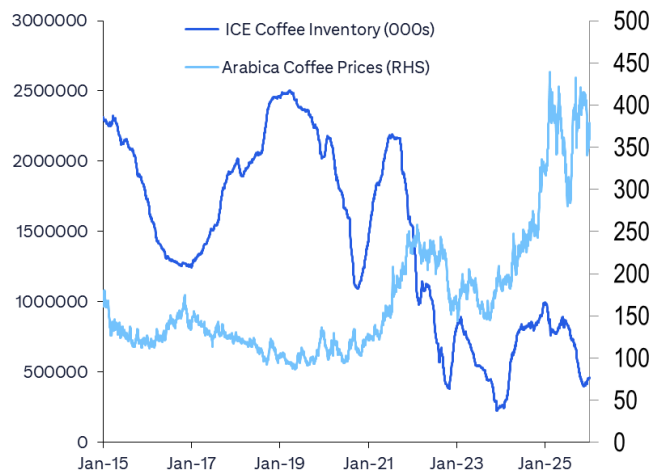
Coffee prices are set to trade lower as inventories are expected to be built in 2026. We tweak our price outlook and now expect prices reaching \$3.40/lb in 3 months and \$3/lb in 12 months. Removal of the US tariffs on coffee from Brazil (50%) and Vietnam (20%) last November would ease the market significantly, and according to high frequency data inventories started to grow immediately after removal of those tariffs from those countries. Postponement of the EUDR policy enforcement for another year is another bearish factor that would ease the market. All of that paired with relatively good Brazilian crop and bumper crop from Vietnam would pressure coffee prices. We continue to see significant gains in production from Central American Region and other countries in LATAM where coffee production and exports have been increasing. We expect that inventories would start meaningfully increase in the 1Q, which would lead to lower prices.

Figure 16. Arabica Inventories continuing to decline, while recent data showed a build right after the US tariffs were removed



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Source: Citi Research, ICE, Bloomberg

Figure 17. Arabica-Robusta spread is still wide and unsustainable

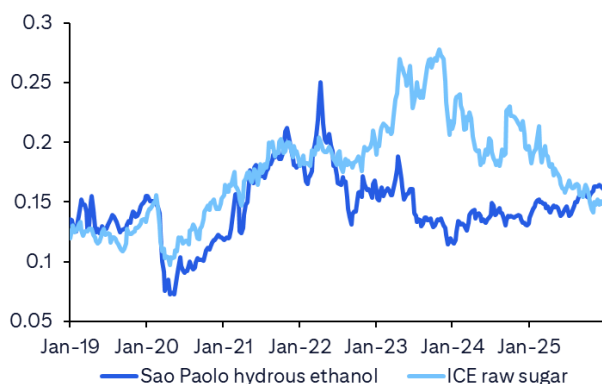


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Source: Citi Research, Bloomberg

Sugar – Prices for ICE sugar have likely bottomed with potential rebound in 2026

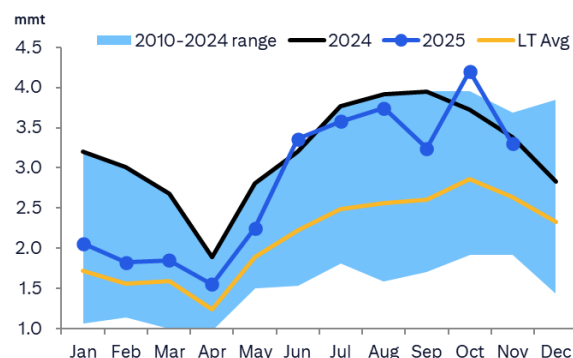
Sugar prices continued their selloff since spring last year, down over 24%, settling in the \$0.14–0.17/lb range. We still expect sugar prices to trade slightly higher versus current spot to average \$0.17/lb in 2026. Risks around further diversion of sugarcane to ethanol in Brazil, stronger import levels from China, and relatively low export levels from India would create push-pull factors for sugar prices in 2026. Supply from India is surpassing last year trends so far on beneficial weather and higher acreage. Trade flow analysis currently points to a surplus by the end of the marketing year of 2025–26, however price dynamics would largely determine how importers and exporters will react.

Figure 18. Sao Paolo hydrous ethanol vs ICE sugar prices (\$/lb, in sugar equivalent terms)



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Source: Citi Research, Bloomberg

Figure 19. Brazil monthly sugar exports starting to catch last year trends

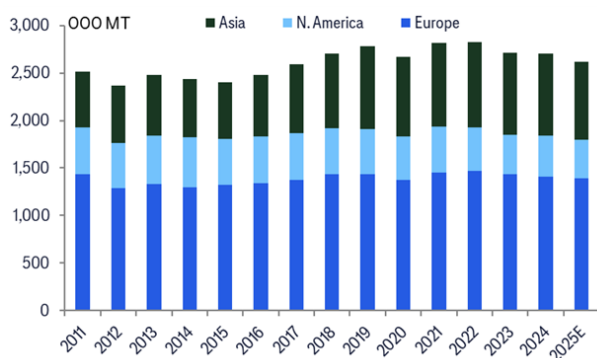


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Cocoa – Recent turn in grindings data while relatively robust supply could lead to rangebound prices

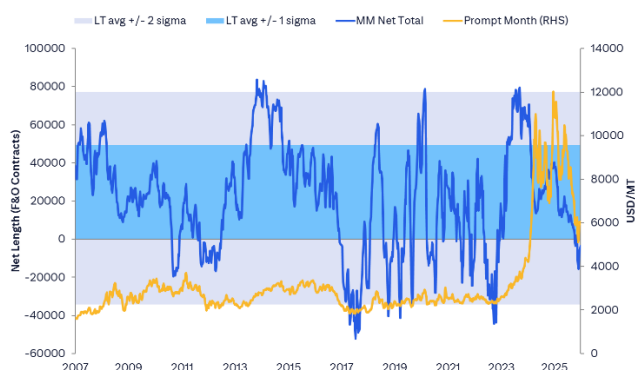
We still expect prices for ICE cocoa to stabilize at \$5,500/mt in 3 months and \$5,750/mt in 12-month period. We think that prices have fallen enough in 2025 and could find some support around \$5,000 and potentially create a trade range for 2026. The latest grindings data suggest that grinders are also adjusting to new price levels and starting to increase demand. However, it might be still early as retailers only recently started to pass through high cocoa prices to final consumers. Any further softness in demand could be a risk to our view. The removal of US tariffs and delay of the EUDR policy pushed prices even lower than we had initially expected, but now we project some stabilization at current levels.

Figure 20. Total Grindings, annual comparison



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Source: Citi Research, ICCO, Industry Reports

Figure 21. Money manager are net short now- NY Cocoa

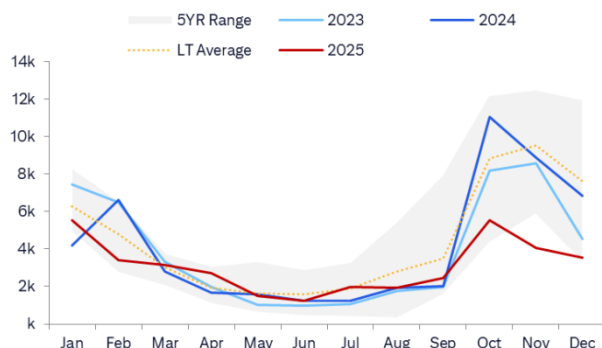


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Source: Citi Research, CFTC

Grains – CBOT grains and oilseeds price outlooks are neutral to neutral-bullish for 2026

We expect higher prices for soybeans in the next 12 months on the back of recent US-China trade agreement. Overall, China has committed to buy at least 25mmt annually for the next three years. While China did not fulfill its commitment in 2025, we still think this is significantly higher versus what market participants are forecasting. We expect corn to trade in sympathy with soybeans, while upside potential is capped due to the larger crop and more weighty balances. Recent transportation hurdles have been limiting supply of corn and wheat from Ukraine as exports are down y/y meaningfully. We expect range bound trading in wheat, as there is a lack of progress on the Russia/Ukraine ceasefire. We continue to expect that trade policies and potential frictions will be very important to watch in 2026. EPA is still anticipated to finalize biofuel policy for 2026-2027 in the first quarter of this year, which potentially could move prices in the coming months.

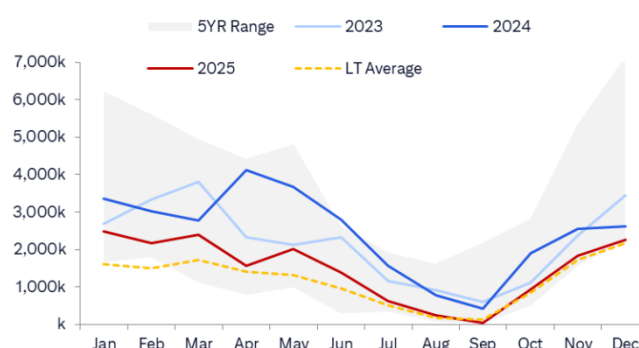
Figure 22. Soybean exports (kmt) have significantly lagged y/y and versus 5 year range...



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Source: Citi Research, USDA

Figure 23. Ukrainian corn exports have been struggling due to high transportation costs



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Source: Citi Research, Bloomberg

Battery Metals

Lithium – Prices to stay elevated in the near term on tight fundamentals

Lithium prices have rallied more than 50% over the last few weeks breaching all our previous price targets (see [here](#) for our latest annual outlook). Driving the rally is the lack of restart of the CATL's Jianxiawo lithium mine in China, tightening of certain China domestic mining policy measures, China's extension of EV trade in policies in 2026 and a general constructive stance on broader industrial metals complex. China's State Council's ([Mysteel](#), Jan 6, 2026) "Action plan for Comprehensive Management of solid waste" which states that approvals will no longer be granted for processing facilities that lack self-owned mines or supporting facilities for utilization and disposal of tailings. This may also further delay the restart of JXW mine although this remains unclear.

Although prices have rallied hard, we see scope for prices to stay elevated in the near term on tight fundamentals underpinned by **front loading** of battery demand, thin stockpiles, anti-involution measures and a limited supply response. Our initial conservative view was largely predicated on the quick restart of CATL's JXW mine in Dec'25 and expectations of a weak seasonal rechargeable battery demand in 1Q'26. However, the restart of the lithium mine (~100kt LCE, 5-

6% of global supply) has failed to materialise with expectations that the mine will restart by Feb'26. Our discussions with market participants suggest that there is still uncertainty around the restart date. For our modelling purposes, we have assumed a restart around summer instead of a restart around CNY holidays. China's recent moves to cut the tax rebate on battery exports from 9% to 6% from 1st Apr 2026 and then 0% from 1st Jan 2027 could drive some potential front-loading of exports during the year, especially in Mar-26, supporting lithium demand.

Persistent higher pricing is likely to lead to eventual supply restarts and/or weigh on demand growth. Hence, our conviction on lithium price beyond the next three months remains low. Spot carbonate price in China is \$19k/t while GFEX May'26 contract is trading ~\$21k/t. Our long-run incentive price for chemicals is around \$20k/t and for SC6 is \$1,500/t (spot SC6 - \$1,800/t). At these prices, one should see lithium markets balanced. Mines that are in care and maintenance owing to low prices in the previous cycle (~85-100kt LCE) if started today would at least take ~6 months to add extra volume to the market. We are also likely to see aggressive expansion at the some of the existing brine assets, African supply etc. Impending supply upside also includes a possible startup of the Manono Lithium mine in Africa. On the demand side, the significant rally in broader battery and base metals complex could ultimately lead to higher cell prices which could impact project viability of certain marginal ESS projects.

We revise our 0-3mth pt price and 6-12mth pt price for lithium chemicals and spodumene (SC6) with this note. Lithium remains volatile and susceptible to small changes in fundamentals. Our new 0-3mth pt price for China domestic carbonate is \$25k/t, with \$23k/t for lithium hydroxide CIF Asia and \$2,400/t for SC6. Our forecasts for CY'26 are revised higher largely on account of higher price expectations in 1Q'26. Our CY'26 chemical forecasts increase by ~40% while SC6 increases by ~60%. However, we make modest changes to our CY'27 forecasts given our low conviction on lithium prices into 2H.

Figure 24. Citi Lithium Forecasts

			0-3mth pt price	6-12mth pt price	1Q'26F	2Q'26F	3Q'26F	4Q'26F	2026F	1Q'27F	2Q'27F	3Q'27F	4Q'27F	2027F	2028F
Lithium Carbonate BG - China (including VAT)	\$/t	New	25,000	16,000	20,000	18,000	14,000	16,000	17,000	16,000	15,000	13,000	15,000	14,800	15,000
		Old	13,000	14,000	12,000	13,000	12,000	13,000	12,500	13,500	13,500	13,000	13,500	13,400	15,000
Lithium Hydroxide BG - CIF Asia	\$/t	New	23,000	15,000	19,000	16,000	13,000	14,000	15,500	14,000	13,000	12,000	13,000	13,000	13,000
		Old	10,500	11,000	10,500	11,000	10,000	11,000	10,600	12,000	12,000	12,000	12,000	12,000	13,000
Spodumene 6% CIF China	\$/t	New	2,400	1,500	2,200	1,800	1,300	1,400	1,680	1,500	1,400	1,200	1,200	1,330	1,300
		Old	1,100	1,200	1,000	1,050	1,000	1,100	1,040	1,150	1,150	1,200	1,200	1,180	1,300

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Source: Citi Research

Figure 25. Citi lithium balances

Summary (LCE kt)	2023	2024	2025F	2026F	2027F	2028F
Total Demand (A+B)	1,008	1,331	1,700	2,018	2,358	2,706
Batteries (incl. stocking) - (A)	871	1,192	1,559	1,874	2,210	2,554
Industrial (incl. stocking) - (B)	137	139	141	144	148	151
% change y/y in total demand	20%	32%	28%	19%	17%	15%
Total Supply (D+E)	1,157	1,473	1,719	1,973	2,346	2,680
Operational (1)	1,072	1,403	1,628	1,833	2,071	2,161
Highly Probable (2)	0	0	0	39	142	318
Probable (3)	0	0	0	0	5	24
Possible (4)	0	0	0	0	1	32
Total Mine Supply (1+2+3+4) - (D)	1,073	1,403	1,628	1,873	2,219	2,536
Total Recycling Supply - (E)	84	70	91	100	127	144
% change y/y in total supply	44%	27%	17%	15%	19%	14%
Surplus/(Deficit)	149	142	19	-45	-13	-25
Balance as a % of supply	13%	10%	1%	-2%	-1%	-1%

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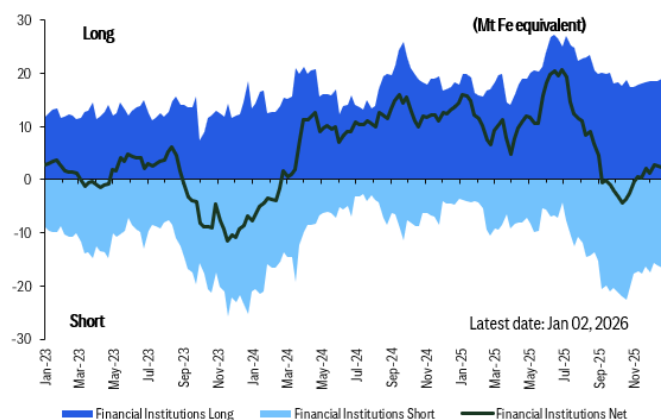
Source: Citi Research, Company Reports, Wood Mackenzie

Bulks

Iron Ore – We see prices trading rangebound with CY'26 averaging \$100/t

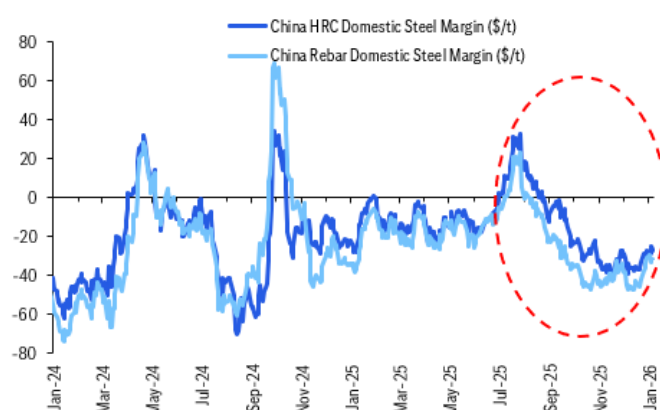
We are neutral on iron ore and expect prices to trade rangebound at \$100–\$110/t over the next three months. We revise our 0–3 month price target to \$105/t (vs \$100/t previously) and raise our CY'26 forecast to \$100/t (vs \$95/t). Iron ore prices have rallied ~10% since mid-December, underpinned by a combination of macro and micro factors. Restocking by steel mills ahead of the later Chinese New Year (mid-Feb), tighter supply of domestic concentrates, concerns around weather-related disruptions, and an uptick in blast furnace utilization rates have supported recent price momentum. In addition to physical indicators, financial flows in the paper market — aided by the broader rally in the metals complex — have also lent support. Policymakers have pledged to reverse the slowdown in fixed-asset investment, with manufacturing and infrastructure investment likely to rebound, alongside accelerated bond issuance and extensions of trade-in policies, which should support the steel/ferrous complex. Although we see scope for iron ore prices to trade higher from here, record shipments towards the end of last year and elevated port inventories are likely to cap the upside. At the same time, policy initiatives over the next 2–3 months should limit downside risk.

Figure 26. SGX fund positioning largely neutral with a small net long position



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Source: Citi Research, SGX

Figure 27. Steel margins showing improvement but remains negative and susceptible to further cost inflation



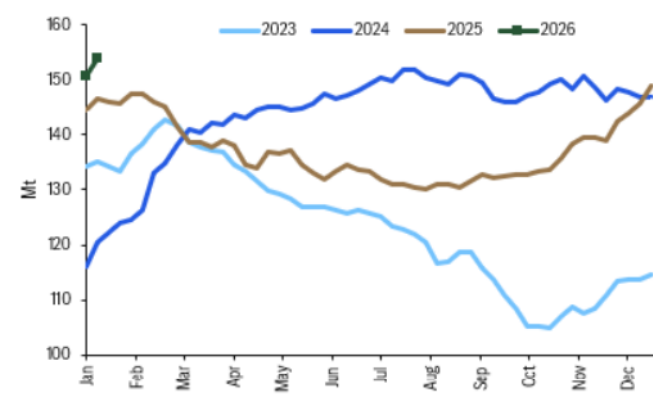
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Source: Citi Research, S&P Global Platts

Figure 28. Ample supply and limited buying appetite has capped the upside in lump premiums



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Figure 29. Increased shipments have resulted in the buildup of iron ore

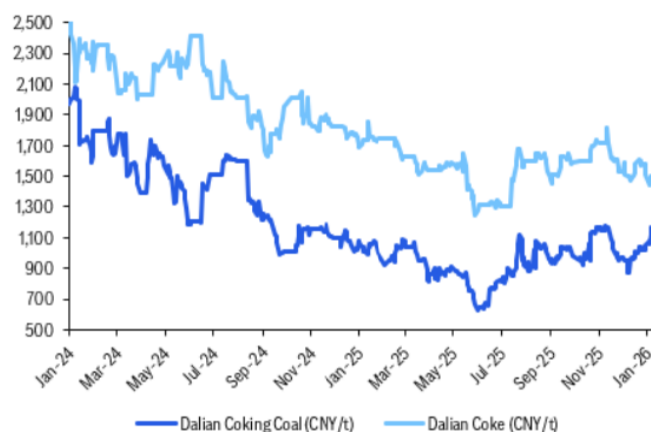


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Source: Citi Research, Bloomberg

Coking Coal – Prices to stay elevated on tight supply and near-term strength in demand

We revise our 0–3mth and 6–12mth pt prices for coking coal (Australia PLV FOB) to \$240/t (vs \$195/t) and \$220/t (vs \$200/t). Our CY'26/27 forecasts increase by ~10%/5%. Near term supply is likely to remain tight on account of weather-related disruptions (Cyclone Koji) in Australia's Queensland region as well as production related issues at some of the mines (Illawarra etc) in Australia. On the demand side, India has withdrawn its restriction on imported met coke ([Economic Times](#), Jan 5) while levying anti-dumping duties in the range of \$60–\$130/t on imported met coke ([Bloomberg](#), Jan 1, 2026). Although no country specific quotas exist anymore, steel mills importing met coke would be subjected to anti-dumping duties for a period of 6 months. The implementation of anti-dumping duties makes it unviable to import met coke of certain origins and with limited domestic coking coal resource base, we believe Indian steel mills/coke producers will be looking to import more coking coal instead of coke. Domestic steel prices have improved over the last few weeks post the implementation of safeguard duty (see [here](#)). Combination of improved steel prices and coke duties should support FOB Australian prices. Increased Mongolian/domestic supply while weak steel margins, coke price cuts and uncertainty around the direction of China's crude steel output is likely to weigh on CFR China prices.

Figure 30. Anti involution measures have supported Chinese coking coal prices



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Source: Citi Research, Bloomberg

Figure 31. Seaborne coking coal prices trade at a premium to domestic Chinese coking coal prices



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Source: Citi Research, S&P Global Platts

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Appendix A-1

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